

FINANCIAL MODEL

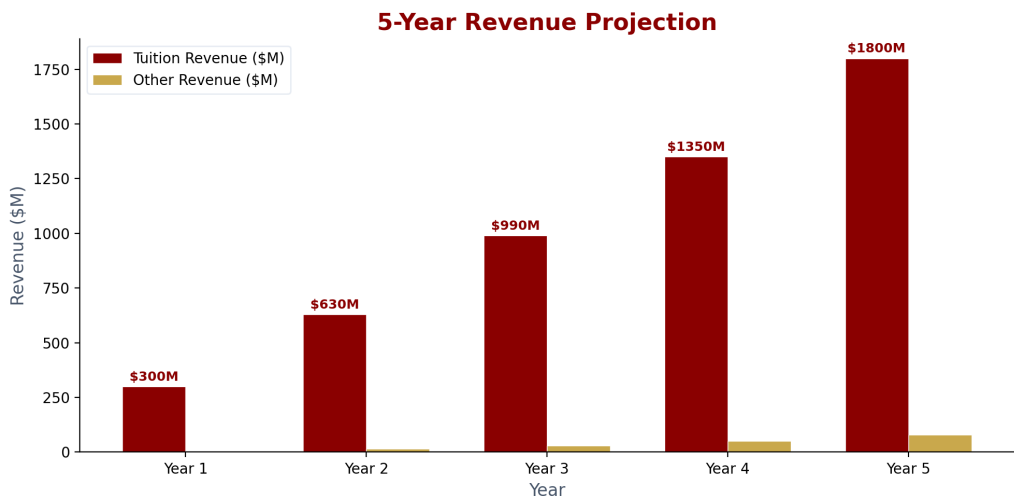
Pro-Forma Analysis & Revenue Projections

SELF-SUSTAINING FROM YEAR 1 | \$1.88B REVENUE BY YEAR 5



REVENUE MODEL

The University of Artemis generates revenue primarily from tuition. At \$3,000/year per student and 100,000 students in Year 1, tuition revenue is \$300M. This is supplemented by ancillary revenue from housing, dining, conference facilities, and the Artemis Press (academic publishing). The model is deliberately simple: high volume, low price, with the surplus reinvested into scholarships, endowment growth, and network expansion. The financial engine is transparent, predictable, and self-reinforcing.

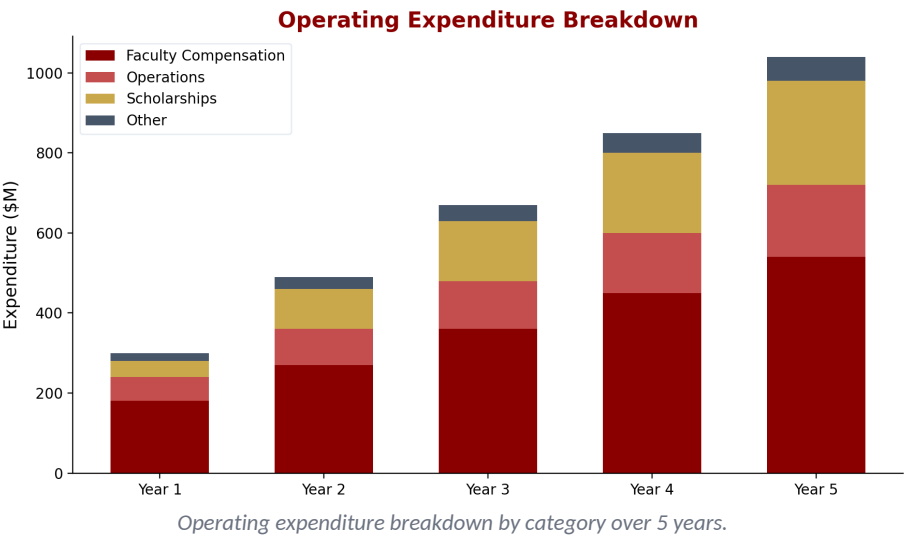


5-year revenue projection: tuition and other revenue streams.

Revenue Stream	Year 1	Year 2	Year 3	Year 4	Year 5
Tuition	\$300M	\$630M	\$990M	\$1,350M	\$1,800M
Housing & Dining	\$3M	\$10M	\$22M	\$38M	\$60M
Research Grants	\$1M	\$3M	\$5M	\$8M	\$12M
Other	\$1M	\$2M	\$3M	\$4M	\$8M
Total Revenue	\$305M	\$645M	\$1,020M	\$1,400M	\$1,880M

OPERATING COST STRUCTURE

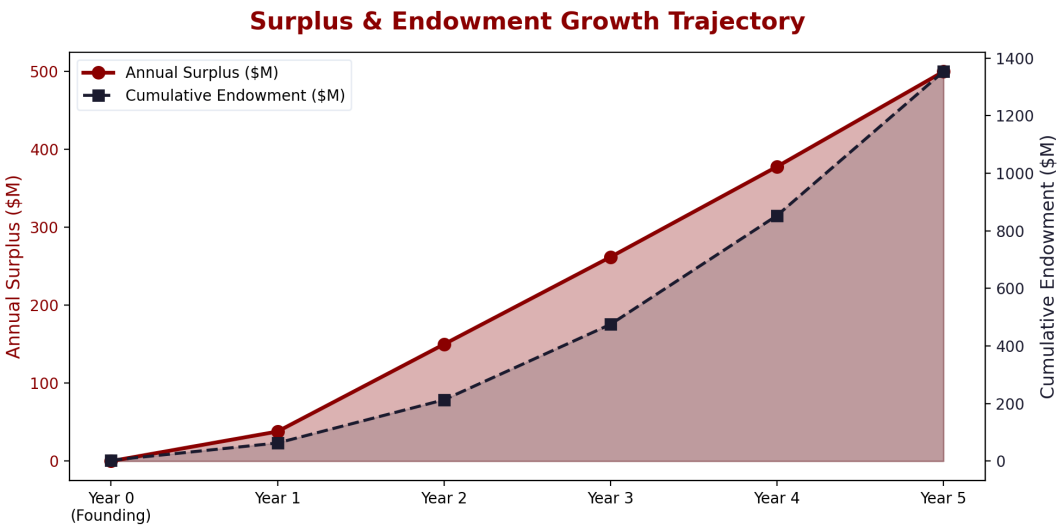
Operating costs are dominated by faculty compensation, which represents approximately 65% of total expenditure. This is by design: the tutorial model requires a 1:7 faculty-to-student ratio, and faculty quality is the single most important determinant of educational outcomes. Operations (facilities, IT, administration) consume approximately 20%, scholarships 10%, and other costs (research support, student services) approximately 5%. The cost structure is lean because the model eliminates the three largest cost drivers of traditional universities: new construction, administrative bloat, and research cross-subsidies.



Cost Category	Year 1	Year 2	Year 3	Year 4	Year 5
Faculty Compensation	\$180M	\$270M	\$360M	\$450M	\$540M
Operations	\$60M	\$90M	\$120M	\$150M	\$180M
Scholarships	\$40M	\$100M	\$150M	\$200M	\$260M
Other	\$20M	\$30M	\$40M	\$50M	\$60M
Total Costs	\$300M	\$490M	\$670M	\$850M	\$1,040M

SURPLUS & ENDOWMENT TRAJECTORY

The surplus generated each year is allocated across three priorities: scholarship expansion (ensuring access for all qualified students), endowment growth (ensuring institutional permanence), and network expansion (adding new Colleges to increase capacity). The endowment is the university's insurance against uncertainty — it provides a permanent source of income that exists independently of tuition revenue, ensuring that the institution can weather economic downturns, demographic shifts, and unforeseen challenges without compromising its mission.

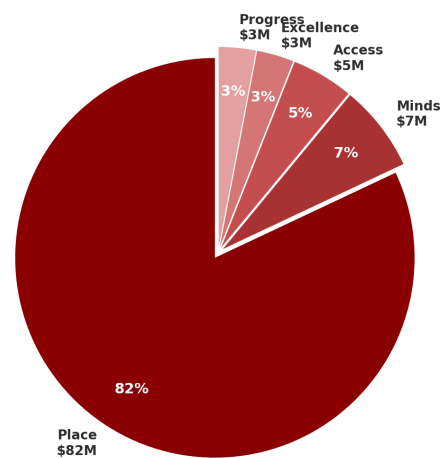


Surplus and endowment growth trajectory showing compounding value.

Metric	Year 1	Year 2	Year 3	Year 5
Annual Surplus	\$38M	\$150M	\$350M	\$740M
End-of-Year Endowment	\$63M	\$213M	\$475M	\$1.35B
Endowment Yield @ 4.5%	\$2.8M	\$9.6M	\$21.4M	\$60.8M
Scholarships Funded from Surplus	10,000	13,300	16,600	23,200

CAMPAIGN ALLOCATION DETAIL

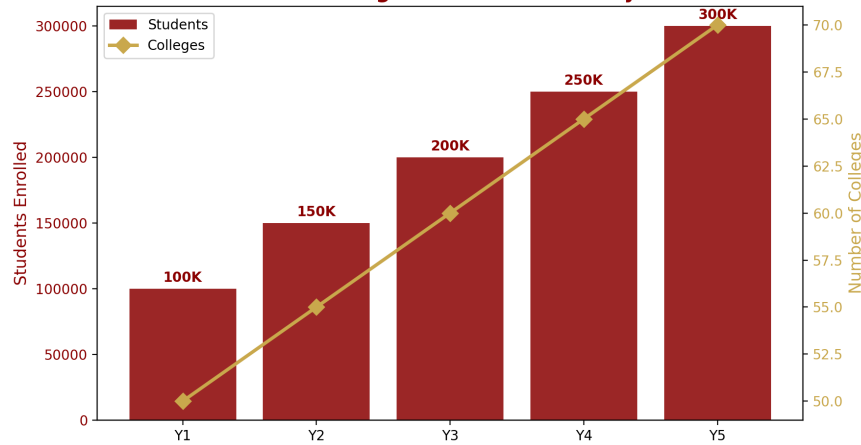
\$100M Campaign Allocation by Pillar



\$100M founding campaign allocation across the five pillars.

The \$100M founding campaign is allocated across five pillars, each representing a critical component of the university's launch. Place (82%) funds the acquisition and repurposing of 50 properties across 35 countries. Minds (7%) covers the 3-month faculty compensation bridge. Access (5%) seeds Year 1 scholarships for 10,000 students. Excellence (3%) funds research startup and Centers of Inquiry. Progress (3%) provides the seed endowment and technology infrastructure. After launch, all ongoing costs are covered by tuition revenue. The campaign is a one-time investment in permanent infrastructure.

Student & College Growth: 5-Year Projection



Student and college growth projection over 5 years.

KEY ASSUMPTIONS & SENSITIVITIES

The financial model rests on a set of conservative assumptions. Tuition is set at \$3,000/year — a figure accessible to 90% of qualified students globally and well below the \$10,000-\$60,000 range of traditional universities. Student enrollment grows at 50% per year (Year 1: 100K, Year 2: 150K, Year 3: 200K), a conservative estimate given that 263 million students currently lack access to higher education. Faculty compensation averages \$90,000/year, competitive in most markets and sustainable at the tutorial ratio. Property costs average \$1.64M per College for acquisition and repurposing — a conservative estimate given the focus on repurposed buildings in cost-effective markets.

Assumption	Base Case	Conservative	Optimistic
Annual Tuition	\$3,000	\$2,500	\$4,000
Year 1 Enrollment	100,000	75,000	120,000
Avg Property Cost/College	\$1.64M	\$2.0M	\$1.2M
Faculty Avg Compensation	\$90,000	\$100,000	\$80,000
Endowment Yield	4.5%	3.5%	5.5%
Year 1 Surplus	\$38M	-\$12M	\$78M

Even in the conservative scenario (lower tuition, lower enrollment, higher costs), the university reaches surplus by Year 2 and achieves endowment self-sufficiency by Year 4. The model is robust because its core insight — that high volume at low price generates surplus when costs are structurally low — is mathematically sound and empirically proven by every successful low-cost, high-volume enterprise in history, from Walmart to Ryanair to the University of the People.